CASCADIA ANALYTICS

Broadcom Inc.

Equity Research Note | AVGO | 27 OCTOBER 2026

AI Silicon at Hyperscale

Broadcom screens as a Buy with a $729.40 blended target, 113% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$342.55	$729.40	+113%	BUY

Investment Thesis

AI Silicon at Hyperscale. Custom AI accelerators and networking to Google, Anthropic, and OpenAI. AI semiconductor revenue hit $16.7B (+221% YoY), 56% of total revenue [8-K earn]. Guidance Compounds the Story. Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28 [8-K guid]. Two Engines, One Cash Machine. VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the

- AI Silicon at Hyperscale
- Guidance Compounds the Story
- Two Engines, One Cash Machine

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The latest print

Guidance Compounds the Story. Q4 FY26 guide: $34.8B revenue (+93% YoY) with $21.7B AI (+236%). FY27 AI revenue guided to ~$115B, doubling again to ~$230B in FY28.

Two Engines, One Cash Machine. VMware infrastructure software grew 29% with 15% ARR growth, offsetting lower-margin XPU mix. Quarterly FCF of $13.7B (+95%) funds the AI buildout. Per-share targets are divided by a projected terminal-year share count, the current diluted count shrinking 1.5% a year for buybacks as documented in the model, rather than by the current diluted count itself.

$29.59B	$16.7B	$8.75B	75%	$13.67B	$34.8B
REVENUE (Q3 FY26)	AI SEMICONDUCTOR REVENUE	INFRASTRUCTURE SOFTWARE REVENUE	GROSS MARGIN	FREE CASH FLOW	Q4 FY26 REVENUE GUIDE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q3 FY26)	$29.59B	+86% YoY	Up
AI Semiconductor Revenue	$16.7B	+221% YoY	Up
Infrastructure Software Revenue	$8.75B	+29% YoY	Up
Gross Margin	75%	-210 bps seq	Down
Free Cash Flow	$13.67B	+95% YoY	Up
Q4 FY26 Revenue Guide	$34.8B	+93% YoY	Up
FY2027 AI Revenue Outlook	~$115B	~2x FY26	Up
Net Debt	$35.44B	Debt $59,419M vs cash $23,975M	Down

The moat

Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI

The growth engine

AI networking fabric: Ethernet scale-out for hyperscale AI clusters

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
Broadcom Inc. valuation framework · Generated 27 October 2026
Current version: cascadia.jda-properties.com/#/ticker/AVGO

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

SCENARIO	2026-35 CAGR	2035 REVENUE	2035 EBIT MARGIN	TARGET	UPSIDE
Bear	15.5%	$385.95B	39.2%	**$400.06**	+17%
Base	21.6%	$616.62B	44.6%	**$704.92**	+106%
Bull	27.7%	$953.83B	47.7%	**$1,107.68**	+223%

Bear: lab-delay downside case: the AI revenue path slips one full year against the guided trajectory, with FY2027 AI held at the FY2026 level and no programme assumed cancelled.

Base: central case, anchored to the guided AI trajectory with a 15 percent haircut.

Bull: upside case, anchored to the full guided AI trajectory.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
Broadcom Inc. valuation framework · Generated 27 October 2026
Current version: cascadia.jda-properties.com/#/ticker/AVGO

The probability-blended target implies 113% upside

The blended target implies +113% from the $342.55 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$729.40
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

Reference price	**$342.55**
Bear target	**$400.06**
Base target	**$704.92**
Bull target	**$1,107.68**
Blended target	**$729.40**
Terminal value share of Base enterprise value	**67.8%**

BUY | $729.40 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 16.8%, between Bear (15.5%) and Base (21.6%) , cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each ten-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Impl pric
-10%	$317.0B	$57.61	+10%	$1094.6B	$216.73	+30%	$3988.0B	$808.79	+50%	$13240.2B	$2,7
-9%	$335.3B	$61.35	+11%	$1168.6B	$231.87	+31%	$4246.0B	$861.59	+51%	$14015.4B	$2,8
-8%	$354.9B	$65.37	+12%	$1247.6B	$248.05	+32%	$4519.5B	$917.56	+52%	$14831.6B	$3,0
-7%	$376.0B	$69.69	+13%	$1332.1B	$265.32	+33%	$4809.4B	$976.87	+53%	$15690.7B	$3,2
-6%	$398.7B	$74.34	+14%	$1422.2B	$283.77	+34%	$5116.4B	$1,039.69	+54%	$16594.6B	$3,3
-5%	$423.1B	$79.33	+15%	$1518.4B	$303.46	+35%	$5441.6B	$1,106.23	+55%	$17545.5B	$3,5
-4%	$449.3B	$84.69	+16%	$1621.1B	$324.45	+36%	$5785.7B	$1,176.65	+56%	$18545.4B	$3,7
-3%	$477.5B	$90.45	**+17%**	**$1730.5B**	**$346.85**	+37%	$6149.9B	$1,251.17	+57%	$19596.6B	$4,0
-2%	$507.7B	$96.64	+18%	$1847.1B	$370.72	+38%	$6535.2B	$1,330.00	+58%	$20701.3B	$4,2
-1%	$540.2B	$103.28	+19%	$1971.4B	$396.15	+39%	$6942.5B	$1,413.36	+59%	$21862.0B	$4,4
+0%	$575.0B	$110.41	+20%	$2103.8B	$423.23	+40%	$7373.1B	$1,501.47	+60%	$23081.2B	$4,7
+1%	$612.4B	$118.05	+21%	$2244.7B	$452.07	+41%	$7828.1B	$1,594.57			
+2%	$652.4B	$126.25	+22%	$2394.7B	$482.76	+42%	$8308.7B	$1,692.91			
+3%	$695.4B	$135.04	+23%	$2554.2B	$515.41	+43%	$8816.2B	$1,796.76			
+4%	$741.4B	$144.46	+24%	$2723.9B	$550.12	+44%	$9351.9B	$1,906.38			
+5%	$790.8B	$154.55	+25%	$2904.2B	$587.02	+45%	$9917.3B	$2,022.06			
+6%	$843.6B	$165.36	+26%	$3095.8B	$626.23	+46%	$10513.6B	$2,144.09			
+7%	$900.1B	$176.94	+27%	$3299.3B	$667.87	+47%	$11142.5B	$2,272.77			
+8%	$960.6B	$189.32	+28%	$3515.4B	$712.09	+48%	$11805.4B	$2,408.43			
+9%	$1025.4B	$202.56	+29%	$3744.7B	$759.01	+49%	$12504.1B	$2,551.39			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1,741.88B	-$35.44B	$1,706.43B	**$400.06**
Base	$3,041.51B	-$35.44B	$3,006.07B	**$704.92**
Bull	$4,759.05B	-$35.44B	$4,723.61B	**$1,107.68**

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 67.8% of Base enterprise value (Bear 66.7%, Bull 70.5%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$400.06	$470.72	$508.55	$547.55	$583.43	$618.14
Base	$704.92	$774.99	$841.85	$911.02	$977.18	$1,041.92
Bull	$1,107.68	$1,217.78	$1,327.94	$1,442.78	$1,556.36	$1,669.15

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Oligopoly (AI silicon + VMware). We assign a premium of +30% to sector median multiples on moat strength alone.

- system-level lock-in, hyperscaler multi-generation XPU agreements plus Tomahawk 6 (102.4 Tbps, no comparable alternative at the top tier per 2026 analysis) plus VMware Cloud Foundation.
- Q1 FY2026 revenue $19.31bn (+29% YoY), AI revenue $8.4bn (+106% YoY), non-GAAP gross margin 76% (Mar 2026 coverage); VMware segment $6.8bn in Q1 FY2026 at 93% gross margin and 78% operating margin with $9.2bn VCF bookings (2026 coverage). FY2023-FY2025 gross margin rose 74.7% → 76.5% → 78.6% (equity-research summary, 2026) .
- The weakest element is vMware durability, the moat is described in 2026 analysis as a "cash extraction moat" (forced VCF migration at higher per-core pricing, 92.5-93% software gross margin) with Gartner/William Blair estimates that up to 30% of VMware's customer base may eventually migrate . Concentration (a handful of hyperscalers) is the second weakness.

On a multiple cross-check, the justified range is 24.0-27.0x / 22.9-25.8x. The cross-check value is $446-$502 vs Base $514.88, spot $337.85, on a base of Framework base from the October 27 moat report. The gap verdict is No upward gap, DCF already above spot; cross-check sits just below Base, well above spot.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Backlog is $179.2bn RPO, 2 Aug 2026, with coverage of 20.3 months vs FY2026 model revenue and visibility rated High. On backlog alone, the stance is Supports direction, does not validate the FY2028 AI trajectory alone.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	8 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	8 points
regulatory single point risk	4 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 44 percent. Shown side by side with the moat premium or discount, the net stance is +10 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all as gap explanation; see AVGO deep trace

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $729.40 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

CASCADIA

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The franchise deep dive

Custom AI accelerator ramps at Google (Ironwood TPU v7/v8i), Anthropic, and OpenAI

AI networking fabric: Ethernet scale-out for hyperscale AI clusters

VMware Private AI Cloud plus 15% ARR growth; enterprise workload repatriation

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	TTM
Revenue	$33.2B	$35.8B	$51.6B	$63.9B	$89.1B
Gross Margin	n/a	n/a	n/a	n/a	75.5%
Op Margin	n/a	n/a	n/a	n/a	54.3%

Valuation cross-check

P/E (fwd) 17.0x

DCF Base $704.92

PEG 0.34

DCF base sits ~106% above spot, so absolute upside is substantial on the model. Forward earnings multiple is undemanding for 90%+ revenue growth.

MRVL 31x fwd P/E

ALAB 45x P/E

AVGO trades cheaper than high-growth custom silicon peers on forward earnings.

EV/EBITDA (TTM) 30.7x

elevated vs history

Multiple stretched by the AI rerating; the growth trajectory must now carry it.

What to monitor

Dec 2026. Q4 FY26 Earnings (Positive): $34.8B revenue guide with ~$21.7B AI semiconductor revenue. The defining test of the FY27 $115B trajectory.

FY2027. Custom Silicon Ramps (Positive): Ironwood TPU v7 shipping to Google and Anthropic, TPU v8i in production, OpenAI first-gen accelerator delivered.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

2026-27. Regulatory Overhang (Two-Sided): Potential China review of networking gear and EU scrutiny of VMware licensing terms.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$33.2B	$22.1B	$14.3B	$19.2B
2023	$35.8B	$24.7B	$16.5B	$20.6B
2024	$51.6B	$32.5B	$15.0B	$23.9B
2025	$63.9B	$43.3B	$26.1B	$34.7B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2022	$73.2B	$50.5B	$22.7B	$12.4B
2023	$72.9B	$48.9B	$24.0B	$14.2B
2024	$165.6B	$98.0B	$67.7B	$9.3B
2025	$171.1B	$89.8B	$81.3B	$16.2B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$16.7B	$-424M	$-15.8B	$16.3B
2023	$18.1B	$-452M	$-15.6B	$17.6B
2024	$20.0B	$-548M	$-1.7B	$19.4B
2025	$27.5B	$-623M	$-20.1B	$26.9B

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $729.40 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
Broadcom Inc. valuation framework · Generated 27 October 2026
Current version: cascadia.jda-properties.com/#/ticker/AVGO

Agency risk score 28 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.92% of shares outstanding. Form 4 filings over the trailing six months show $373.6K of open-market purchases against $283.70M of sales, a net flow of -$283.32M. One-year total shareholder return is -11.7% against CEO total pay of $2.93M (Mr. Hock Eng Tan), which the model scores as SUB-OPTIMAL ALIGNMENT.

28

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.92% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $373.6K (1) vs sales $283.70M (7), net -$283.32M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -11.7%; Mr. Hock Eng Tan, President, CEO & Executive Director, total pay $2.93M
Agency Risk Score	**28 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-07-10	Brazeal Mark David	Officer	SELL	25,000	$10.03M
2026-07-08	Brazeal Mark David	Officer	SELL	25,000	$9.48M
2026-07-08	Delly Gayla J	Director	SELL	1,890	$728.4K
2026-06-29	Page Justine F.	Director	SELL	1,602	$598.9K
2026-06-25	Brazeal Mark David	Officer	SELL	25,000	$9.68M
2026-06-24	Samueli Henry	Director	SELL	654,241	$250.01M
2026-06-17	Brazeal Mark David	Officer	SELL	8,152	$3.18M
2026-06-11	You Harry L	Director	BUY	1,000	$373.6K

SEC proxy audit, DEF 14A filed 2026-03-02

Alignment grade A. LONG-TERM PSU EXTENSION GRANTED. Hock E. Tan, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

In September 2025, the Board granted CEO Hock Tan a new PSU award extending his leadership through fiscal 2030, with 96% of his annualized target compensation structured as variable pay tied to equity performance. Detailed Summary Compensation Table dollar figures are omitted from this excerpt, but executive incentives remain strictly tied to long-term equity growth. Broadcom delivered exceptional operational execution and TSR of 1,082% over five years, maintaining strong pay-for-performance alignment.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1730168/000119312526085691/d49254ddef14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 27 October 2026 for this note.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The bear case

Customer Concentration

A handful of hyperscalers (Google, Meta, OpenAI, Anthropic) drive AI revenue; loss of share or a design loss at any major customer would be material.

Margin Mix Shift

Custom AI accelerators carry expensive HBM and lower gross margins. As AI grows as a share of mix, gross margin fell 210 bps sequentially.

Regulatory Overhang

Potential China review of Broadcom networking gear and EU scrutiny of VMware licensing terms could disrupt two core franchises.

The strengths

Operating Quality

Dominant custom ASIC and AI networking franchise with VMware as a second cash engine. 75% gross margins, 54% operating margins, $30B+ annual FCF. Tempered by acquisition-driven leverage ($59.4B debt) and hyperscaler concentration.

Recent Trend

Revenue accelerating violently: $16.0B to $29.6B quarterly in a year, AI revenue tripling (+221%), FCF +95%, GAAP net income +200%. Only blemish is gross margin down 210 bps on XPU mix.

Forward Growth

Q4 guide implies 93% growth with AI at $21.7B (+236%). Management sees AI revenue doubling to ~$115B in FY27 and again to ~$230B in FY28, targeting $30+ EPS. Concentration in a few hyperscalers is the offset.

Valuation

DCF base $704.92 sits ~106% above spot, so absolute upside is substantial on the model. Forward P/E of 17x and PEG of 0.34 are undemanding for this growth, and the stock is cheaper than custom-silicon peers.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

Broadcom Inc. valuation framework · Generated 27 October 2026
Current version: cascadia.jda-properties.com/#/ticker/AVGO

Cascadia scorecard

Composite score 76: Attractive. Confidence High, as of 23-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Dominant custom ASIC and AI networking franchise with VMware as a second cash engine. 75% gross margins, 54% operating margins, $30B+ annual FCF. Tempered by acquisition-driven leverage ($59.4B debt) and hyperscaler concentration.	85
Recent Trend	Revenue accelerating violently: $16.0B to $29.6B quarterly in a year, AI revenue tripling (+221%), FCF +95%, GAAP net income +200%. Only blemish is gross margin down 210 bps on XPU mix.	88
Forward Growth	Q4 guide implies 93% growth with AI at $21.7B (+236%). Management sees AI revenue doubling to ~$115B in FY27 and again to ~$230B in FY28, targeting $30+ EPS. Concentration in a few hyperscalers is the offset.	85
Valuation	DCF base $704.92 sits ~106% above spot, so absolute upside is substantial on the model. Forward P/E of 17x and PEG of 0.34 are undemanding for this growth, and the stock is cheaper than custom-silicon peers.	60
Catalysts & Risk	December Q4 print and Ironwood/TPU ramps are near-term positives. Risks: customer concentration, lower-margin XPU mix, China networking review, EU VMware scrutiny. Skew roughly balanced.	65

Investment view

A Q4 FY26 beat above the $34.8B guide that keeps the $115B FY27 AI trajectory intact would lift Forward Growth and Trend. Conversely, a major customer share loss or a China/EU regulatory hit would cut growth and quality scores.

Investment view: Buy. The $729.40 blended target implies +113%, balancing the $400.06 / $704.92 / $1,107.68 Bear / Base / Bull outcomes.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.